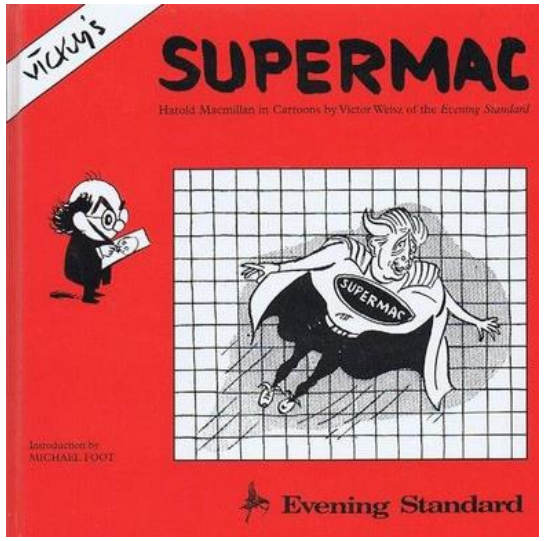


Managing the UK economy

Fiscal and monetary policy since 1945

Week 5 – 1952-67: Fiscal activism and macroeconomic fine-tuning

AY 2026-27

Department of Political Economy

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Plan for today: 1952-67

1. Overview
2. Macroeconomic policy 1952-67
3. The growth gap and the sterling problem in retrospect
4. Planning and incomes policy

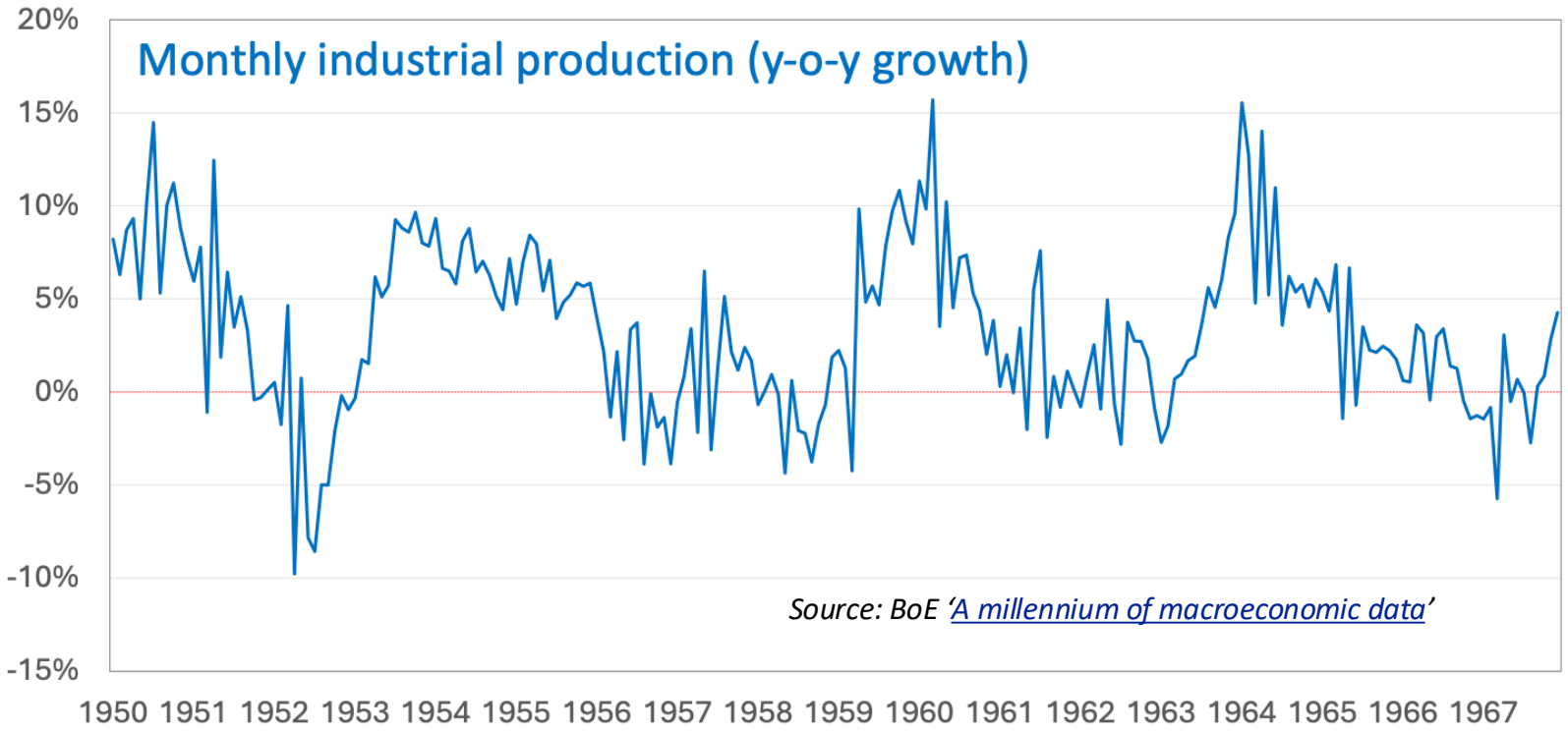
1952-1967: Overview

- Sustained growth, low unemployment, moderate inflation.

Change in Real GDP	Avg. annual GDP growth	Change in labour productivity	Avg. annual productivity growth
65%	3.2%	79%	3.7%
Real GDP per capita growth	**Average unemployment**	**Max yearly unemployment**	**Average inflation rate**
49%	2.3%	3.4%	3.6% (3.2% in 1953-67)

Source: BoE 'A millennium of macroeconomic data'

1952-1967: Overview

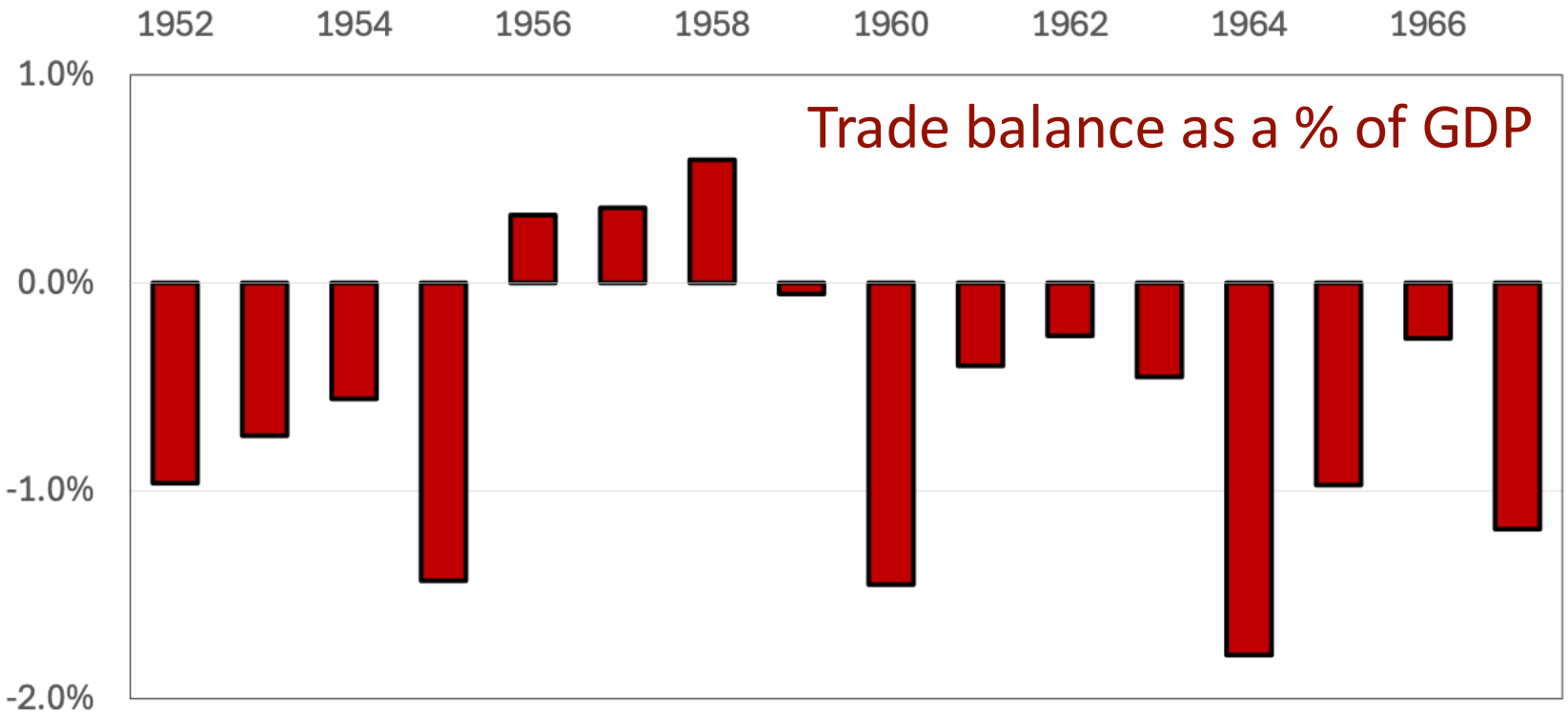


- Four cycles:

1. Peaked in 1950-51
2. Peaked in 1953-55
3. Peaked in 1960
4. Peaked in 1964

1952-1967: Overview

- Key constraint to economic expansion: the balance of payments.

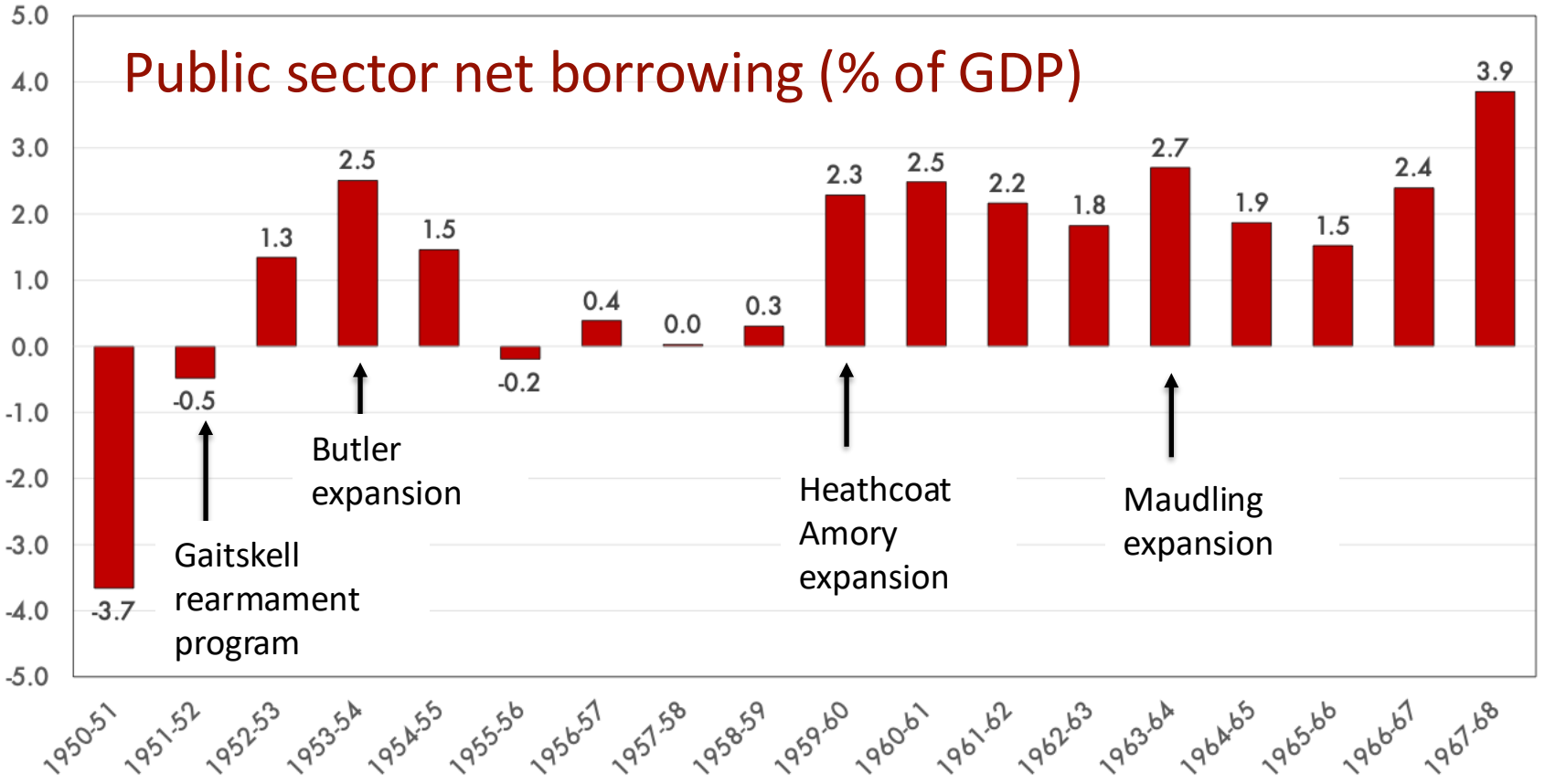


Source: BoE 'A millennium of macroeconomic data'

Policy dilemma: often the economy could withstand higher activity, but the balance of payment could not.

1952-1967: Overview

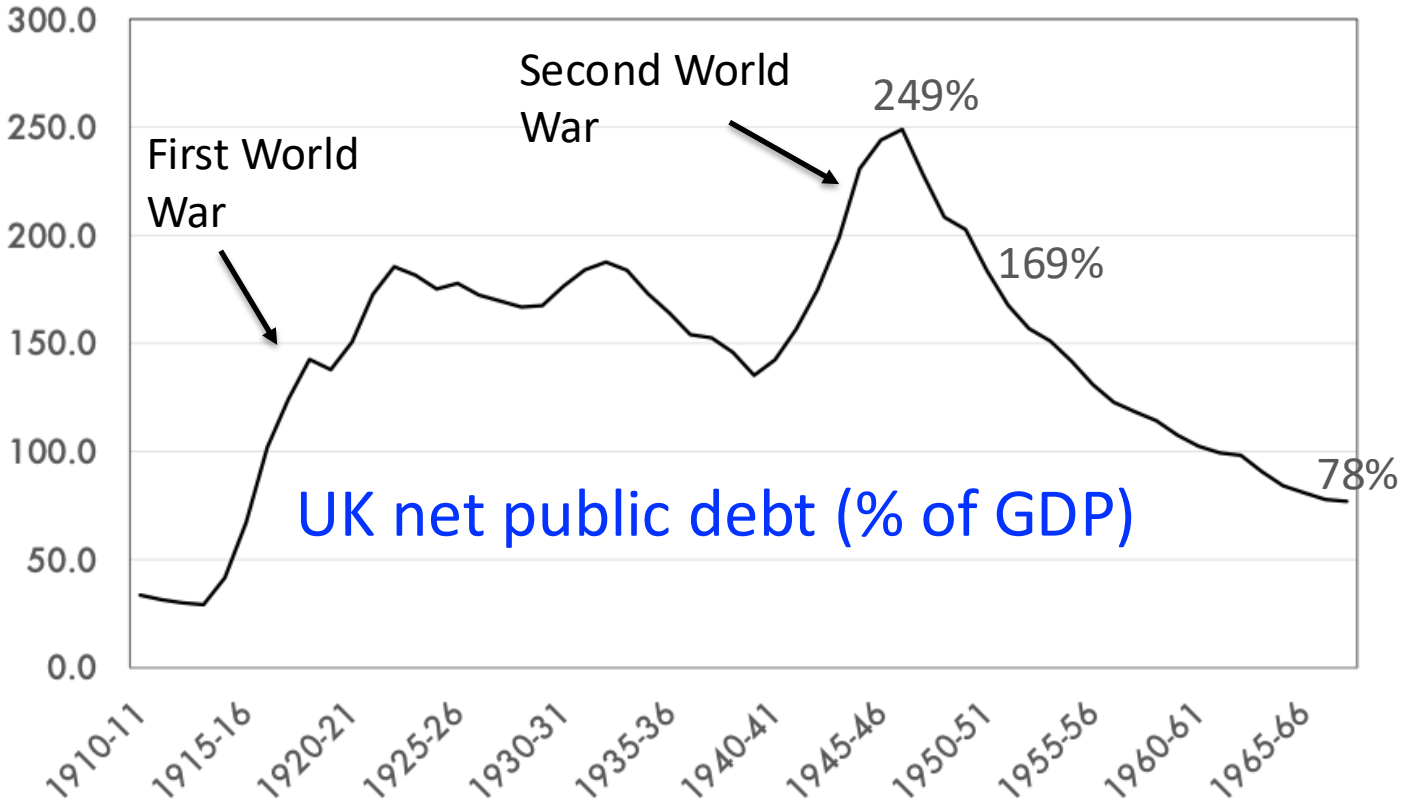
- Budget balance switches to deficit in the 1960s



- Mainly due to the Conservatives' fiscal expansions
  - Butler 1953-54
  - Amory 1958
  - Maudling 1963
- 1966-68 worsening due to (relative) weakening of economy

1952-1967: Overview

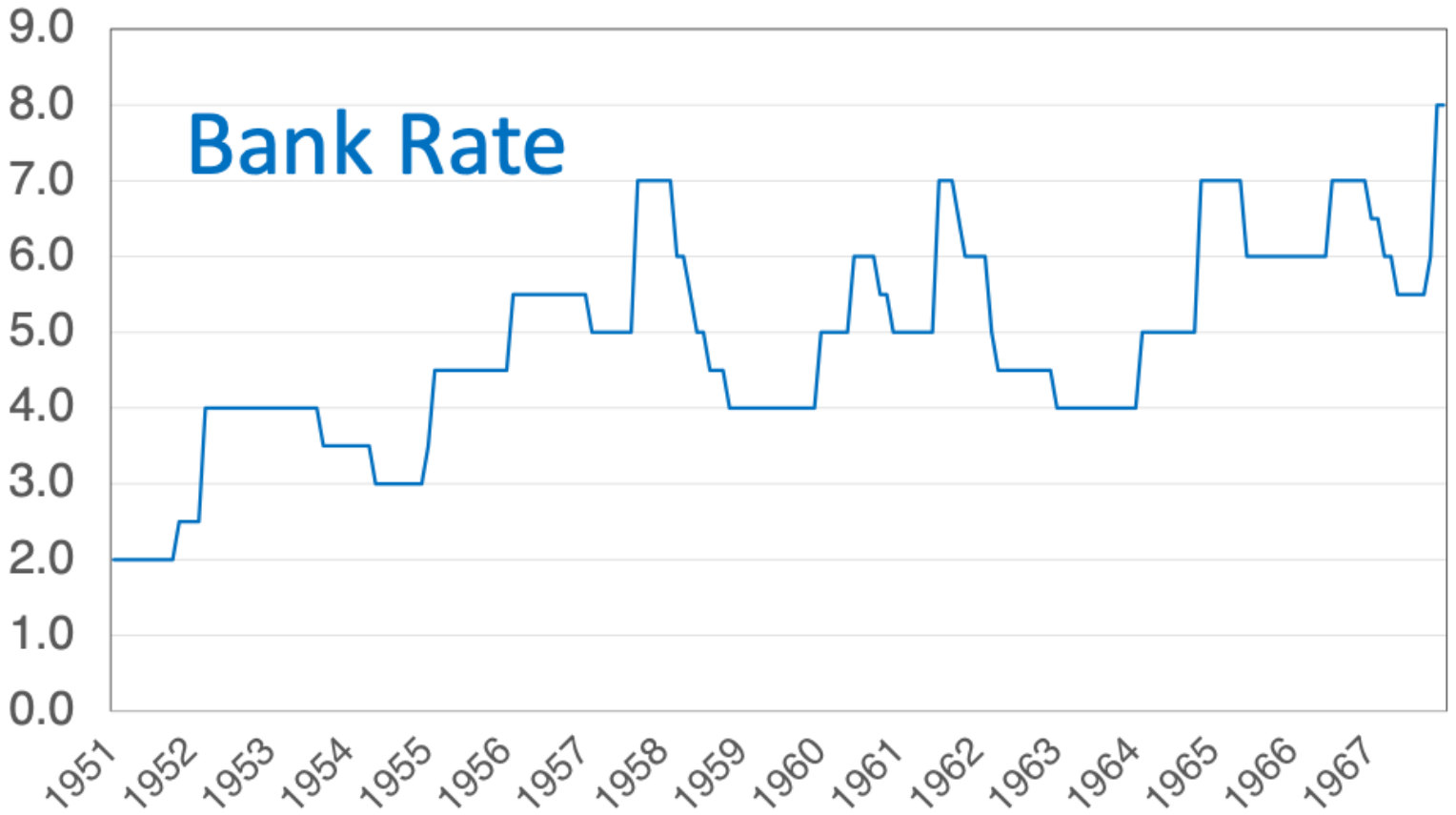
- Debt-to-GDP falls from post-war peak



- 1952: 169% → 1967: 78%.
- notwithstanding deficits in 15 years out of 17
- $g + \pi > i$ did the trick
- Avg. yearly nominal growth $g + \pi \sim 7\%$
- Avg. 10-year nominal rate $i \sim 5\%$

1952-1967: Overview

- Short-term rates higher & more variable



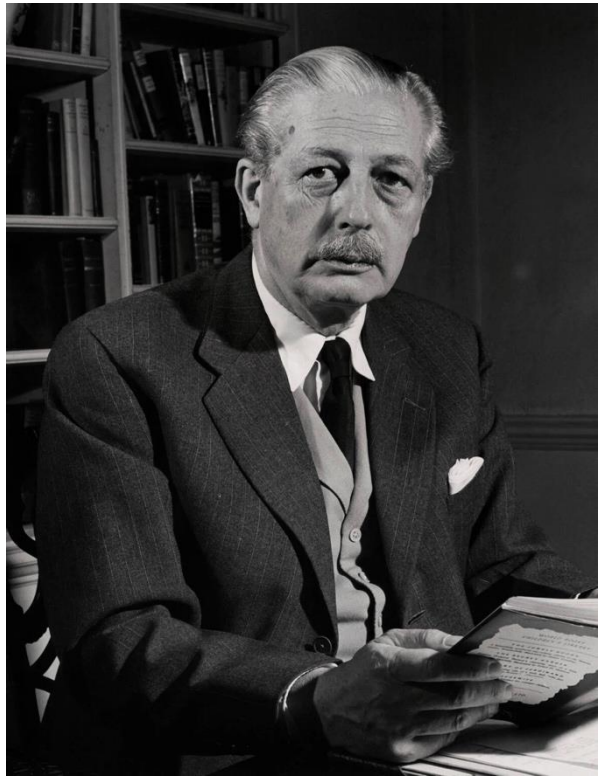
- Nov 1951: Tories re-activate monetary policy
- Cuts coincide with fiscal expansions
  - Butler 1953-54
  - Amory 1958
  - Maudling 1963
- Increases were to cool down the economy & improve balance of payments.

1952-1967: Overview

- Continuities in policy ('*Butskellism*')
  - Welfare state & nationalized industries (except iron & steel) maintained
  - Continued commitment to full employment
  - Demand management through counter-cyclical tax changes
  - Exception: re-activation of monetary policy
- "Stop-go" macroeconomic policy.
- Periodic balance of payments crises.
- Attempts at incomes policy.
- Experiments with forms of economic planning.

Macroeconomic policy 1952-1967









1951-1955: from austerity to expansion



- Tory Chancellor **Rab Butler** (Nov 1951 – Dec 1955)
- **1951-52: addressing the Korean-war crisis**
  - Import cuts & hire-purchase restrictions.
  - Bank rate hikes in Nov 1951 (2.5%) and Mar 1952 (4%).
  - Feb 1952: ROBOT plan (float + convertibility) rejected.
  - 'No-change' budget in March 1952.
- **1953-55: shift to expansionary policy**
  - Expansionary Apr 1953 budget
    - Tax cuts ~ 2.7% of GDP
  - Big increase in public housing construction (>300k/year).
  - Bank rate reductions in 1953 (3.5%) and 1954 (3%).

1955: boom & overheating

- Strong economic expansion in 1954-55.
- Signs of overheating in the first half of 1955
- Monetary reaction
  - Hire-purchase restrictions reintroduced
  - Bank rate increased to 4.5%
- BUT April 1955 (pre-election) budget delivers tax cut of 1% of GDP.
- Inflation and trade deficit mount.
- Special October 1955 (post-election) budget reverses the tax cuts.
- Dec 1955: **Harold Macmillan** Chancellor

1955-1960: Macmillan & the economy

Aug-Dec 1956: Suez crisis

- Run on the pound; US withholds support
- **Macmillan** Prime Minister; **Thorneycroft** Chancellor

Sep 1957: new sterling crisis → Bank rate 7%

Jan 1958: Thorneycroft resigns

- Clash over fiscal policy with "expansionist" Macmillan
- **Heathcoat-Amory** new Chancellor

Dec 1958: Sterling convertibility

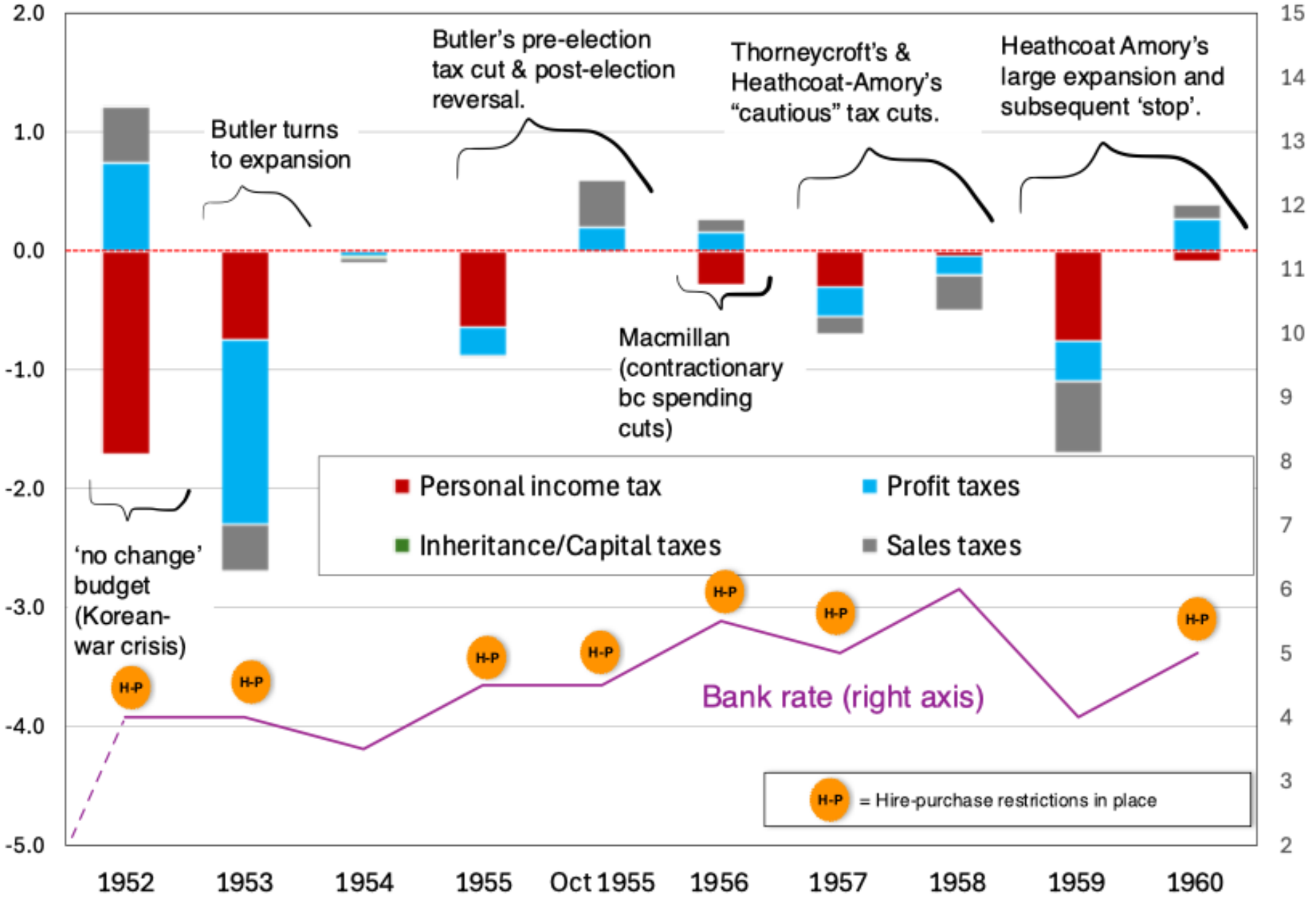
- (only for non-residents)



1959-60: (Electoral?) expansion & overheating

- Heathcoat-Amory (likely pushed by Macmillan) issues strongly expansionary 1959 pre-election budget
- Overheating leads to 1960 post-election monetary tightening
- Special deposits scheme

Macro policy: 1952-1960



Sources: Dow (1964) for taxes & HP;
BoE, 'A millennium of macroeconomic data' for Bank rate.

1960-1962: Lloyd's Chancellorship

- July 1960: **Selwyn Lloyd** Chancellor.
- 'Stop-go' again: legacy of Amory's boom (BoP deficit) + Mar 1961 DM revaluation → run on sterling → fiscal and monetary brakes.
- Apr 1961 budget: neutral, but new *'tax regulator'* (±10% on indirect taxes)
- July 1961: most decisive 'stop' since 1957
  - Bank rate 5→7% + special deposits
  - Regulator used in full + spending restraint (£300m)
  - Public-sector 'pay pause'; $2bn IMF credit

  The Economist: "the biggest immediate cut in demand … on any single afternoon in peacetime history"
- 1962: the stop lasts too long
  - Neutral budget; slow Bank rate cuts (→4.5%); rising unemployment
- July 1962: Lloyd sacked in major cabinet reshuffle



1962-1964: Maudling's "Dash for Growth"

- July 1962: **Reginald Maudling** Chancellor
- Fateful decision: '*dash for growth*' notwithstanding balance of payments risks.
  - Nov 1962: Sales tax on cars slashed (45-25%).
  - Jan 1963: Bank rate cut (4.5 → 4%)
  - Apr 1963 budget: large tax cuts (~£600m, ~1.9% of GDP) & increased public investment.
  - *"I absolutely reject the proposition that a vigorous economy and a strong pound are incompatible"* [1963 Budget speech]
- Early 1964: balance of payments crisis starts.
- Apr 1964 budget: £100m increase in excise duties.
- Oct 1964 election under a £800m BoP deficit (~2.3% of GDP) & severe pressure on reserves.



1964-66: 1st Wilson government

- Triumvirate in charge of the economy: Wilson, Callaghan & Brown.
- They inherit a booming economy & a severe BoP crisis but reject devaluation or deflation.
- Strategy: affect BoP directly & try to increase competitiveness
  - Import surcharge & export subsidies
  - Tighten exchange controls
  - Incomes policy & industrial policy
  - Wilson-Cromer stand-off → $3bn from CBs



- Nov 1964 & Apr 1965 budgets: mild fiscal consolidation
  - Nov 1964: broadly neutral; Apr 1965: tax rises of ~£200m (~0.5% of GDP)

1966-67: Countdown to devaluation

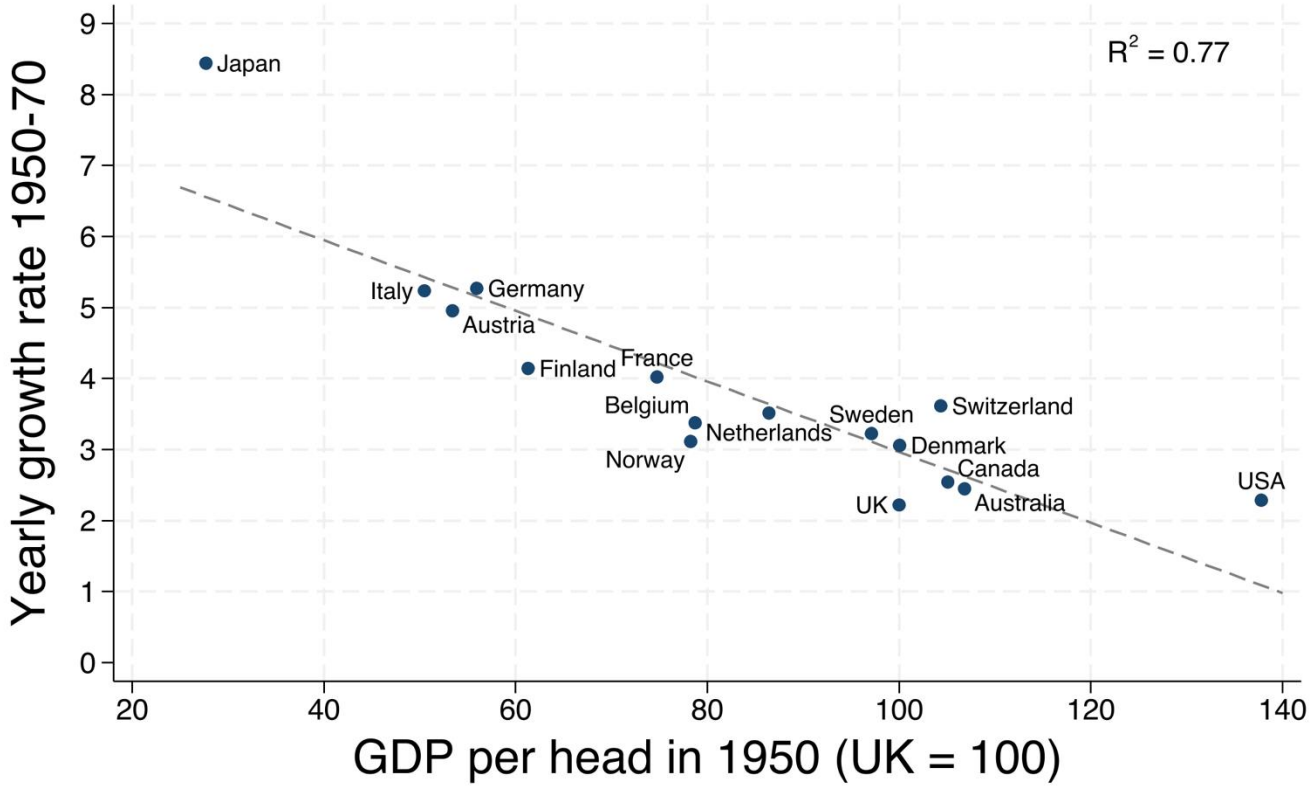
- Mar 1966 election increases Labour majority
- Structural tax reforms
  - Corporate tax and capital gains tax (1965)
  - Selective Employment Tax (1966)
- July 1965 emergency measures
  - Further hire-purchase restrictions
  - Cuts in public investment (£200m)
  - Restrictions on new construction (excl. houses, schools, hospitals & industries)



- July 1966: deflationary package (~1.3% of GDP) + wage & price freeze
- 1967: easing + shocks (Six-Day War, dock strikes, EEC bid) → new run
- November 1967 devaluation: $2.80 →$2.40 (14.3%)

Britain's growth gap in retrospect

Post-war relative decline is mostly explained by *growth convergence*



Source: Maddison Project Database (2020). Growth of GDP per head 1950-70 vs. level in 1950.

1945-50: UK far ahead of Europe and Japan

- UK GDP larger than Fra + Ger *combined.*
- Labour productivity 85% above W. Germany, 50% above France and Italy.

1950-80: Catch-up process

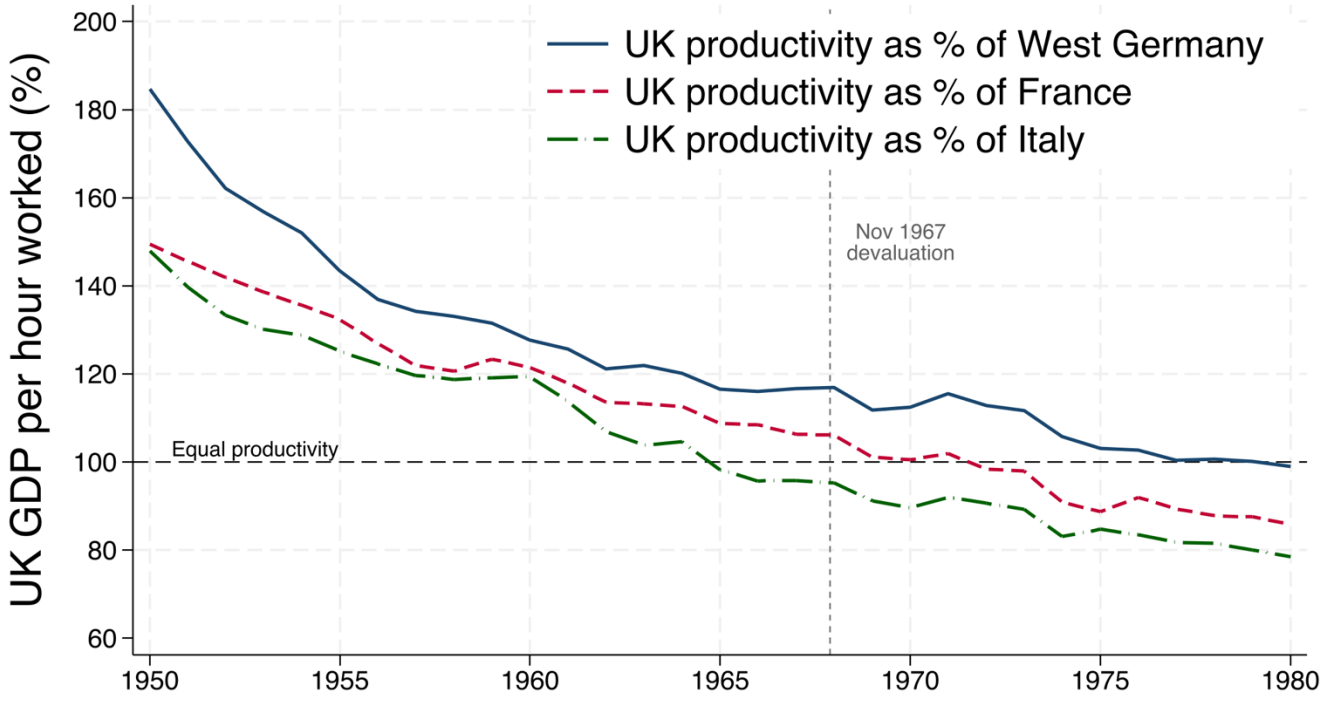
- Laggards rebuilt capital and imported technology
- The lower 1950 income, the higher subsequent growth (Japan, Germany, Italy).
- Within advanced economies (not yet Global South).

UK slightly below the trend line:

- convergence is the main story, not the whole story
- stop-go at most a minor factor

The sterling problem in retrospect

Growth convergence was also at the root of the sterling problem



Source: Long-Term Productivity Database (Bergeaud, Cette & Lecat 2016).

1949 parity ($2.80) appropriate for a world where UK productivity was 85% higher than W Germany

Productivity catch-up abroad → decreasing competitiveness of UK goods.

Two possible ways to keep trade balanced

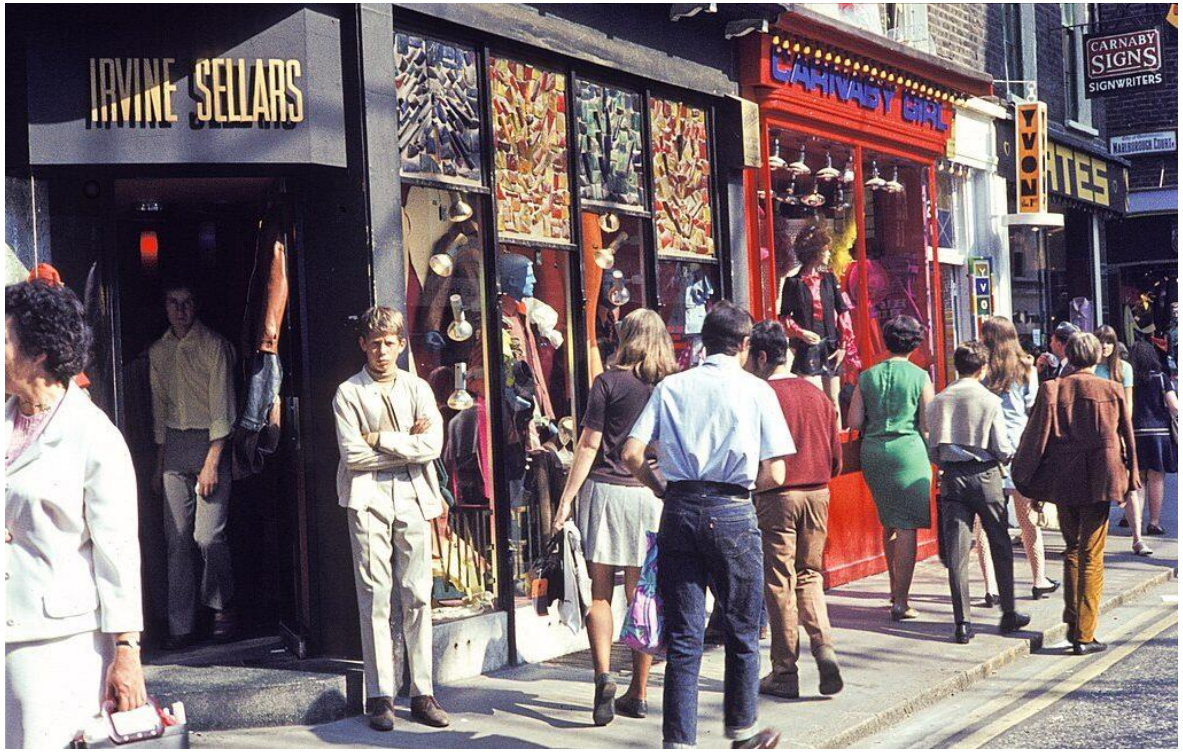
- Pound depreciation/devaluation
- UK costs (ie, wages) rise much more slowly than abroad – unrealistic & painful.

Without either, persistent BoP strain

Made worse by: sterling balances, capital outflows, military spending abroad

Devaluation was a necessary and inevitable adjustment, and trying to prevent it a big mistake.

1952-1967: Experiments with planning & attempts at incomes policy



Incomes policy

- How to prevent a full employment fast-growing economy from igniting inflation and undermining the balance of payments?
- Gov't wants to go beyond 'stop-go', act directly on wages and prices.
- "To *keep the rate of increase of incomes within the long-term rate of growth of national production*" [1962 White Paper "Incomes Policy: The Next Step"]
- 1948-49: Cripps demands (& largely obtains) wage restraint from unions.
- 1960s: attempts to institutionalize income policy
  - 1962 *National Incomes Commission* – *would make recommendation to unions and employers on the wage increases they were negotiating.*
  - 1965 *National Board for Prices and Incomes* – *reviewed wage & price increases referred to it by the government against a 3–3.5% norm; would then report & recommend.*
  - Both advisory only. No enforcement powers. Little results.

Attempts at planning

- In 1960s, increasing attention to economic growth (and the 'growth gap) and international competitiveness.
- Labour & Tories see economic planning as the key to faster growth.
- The model was France's indicative planning
  - A planning commission, in cooperation with representatives of businesses and unions, sets a growth target & a plan for how to achieve it.
- 1962: National Economic Development Council ('*Neddy*')
  - Tripartite body that would study ways to increase growth and competitiveness.
- 1964: Department of Economic Affairs (DEA)
  - New economic department, responsible for economic planning, headed by George Brown.
  - A more growth-oriented counterweight to the Treasury.
  - 1964-65 National Plan (3.8% growth target); incomes policy; regional policy.
  - The BoP crises undermines the National Plan from the start; 1966 austerity finishes it off.

Concluding thoughts on 1952-67

- A paradox: record prosperity (fast growth, full employment, rising living standards), yet experienced as crisis and relative decline
- Demand management became routine: mixed results and many mistakes, but no recessions, small fluctuations and very low unemployment
- The binding constraint: the BoP at a fixed $2.80 rate → the root of stop-go
  - Devaluation inevitable by the mid-1960s; delaying it made it costlier
- The 'growth gap': in retrospect, it was mostly catch-up by Europe + Japan
- Planning and incomes policy tried to break stop-go: both largely failed
- Easy to list the policy mistakes, but an age of ambition and experimentation: never before or since have UK governments tried so hard to steer the economy
  - Achieved full employment & rising living standards, not BoP stability or faster growth



Thank you for your attention